SEMICONDUCTORS · STOCK RESEARCH

Advanced Micro Devices AMD

Data Center growth, four straight beats and fast-rising estimates argue for the shares; valuation and weak free cash flow argue against. The evidence tilts higher, but not strongly enough for a directional view.

NEUTRAL
over the next 8 weeks
the research tilts higher; 2 of 3 items point higher (results and estimate revisions); valuation points lower — not enough for a call

8-wk range
$391.98 – $877.23

NO TRADE
the evidence tilts higher, not strongly enough to trade

NO TRADE
re-assess > $649.42
re-assess < $404.40

Scored publicly
19 Nov · 12 Dec

WHAT IT DOES

AMD designs high-performance processors and accelerators and sells them fabless, mostly made by TSMC. Data Center sells EPYC server CPUs and Instinct GPUs to hyperscalers and cloud builders; Client and Gaming sells Ryzen PC chips and console semi-custom parts; Embedded serves industrial and communications customers.

TRACK RECORD

This is a prototype stock note: none has been scored yet. Every published note is scored publicly 7 and 30 days later.

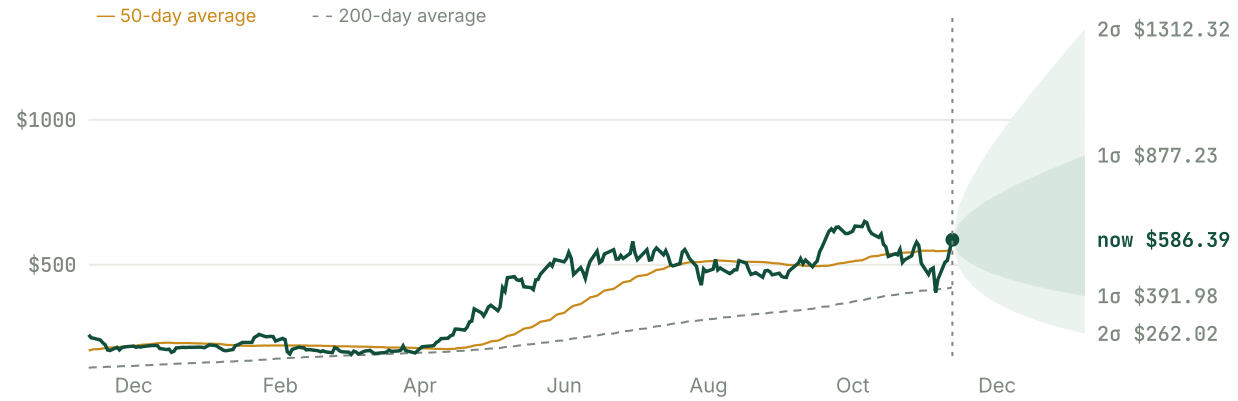
PRICE	FORWARD P/E	NEXT EARNINGS REPORT
$586.39	33×	2 Feb
+2.7% in a month	trailing 125× · peer median 18×	consensus EPS $2.93

KEY POINTS

1. **Q3 beat, warrant charge.** Q3 revenue $13.38B topped guidance's high end, up 44.7% y/y. Non-GAAP EPS $2.09 beat the $1.95 consensus; GAAP EPS $1.46 included a $1.1B non-cash warrant charge.
   AMD results release, 3 Nov 2026
2. **Data Center now the company.** Data Center revenue was $8.5B, up 97% y/y and 64% of total against 47% a year earlier. Helios rackscale runs at Anthropic, Meta, Microsoft, OpenAI and Oracle.
   AMD prepared remarks, 3 Nov 2026
3. **Estimates still rising fast.** Next-fiscal-year EPS consensus rose to $17.69 from $15.78 in 30 days, with 10 revisions up and 1 down. The last four quarters each beat.
   Yahoo consensus, 12 Nov 2026
4. **Cash consumed by inventory.** Q3 free cash flow fell to $554M from $1.56B, while inventory rose about $3B to $11.5B to support 2027 capacity.
   AMD prepared remarks, 3 Nov 2026
5. **Valuation is the counterweight.** The counterweight is valuation: the forward multiple is close to double the peer median and the price assumes the full 2027 plan, leaving little room for a slip.
   Yahoo, 12 Nov 2026

Price, one year, and the 8-week range

Yahoo daily closes · shaded: 1σ and 2σ if recent volatility holds

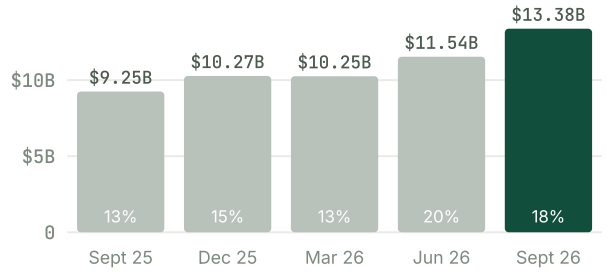


Results: Guidance strong, PC side shrinking

Management guides fourth-quarter revenue to about $17B, plus or minus 3%, up 66% y/y, with non-GAAP gross margin near 55%, Data Center up roughly 50% q/q and Client and Gaming down more than 20%. Revenue dipped slightly in the March 2026 quarter before the June and September rises.

Revenue by quarter

Yahoo · inside each bar: net margin

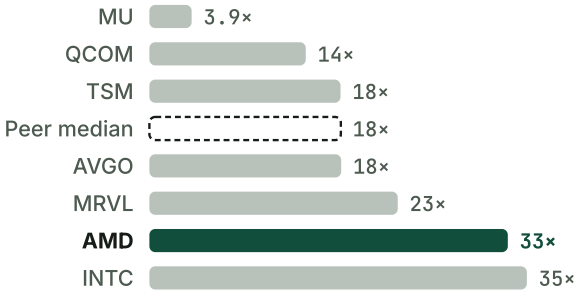


Valuation: Multiple near double the peer median

Forward P/E is 33.1× on fiscal-2027 consensus EPS of $17.69, and 72.5× on this fiscal year's $8.08; the peer median is 17.7×. EV/revenue is 19.8× against a 6.2× peer median. At the median multiple, $17.69 gives $313.22 a share, 46.6% below the price — arithmetic on consensus, not a forecast.

Forward P/E against peers

Yahoo · Semiconductors · dashed: peer median



What the price would be on stated yardsticks

Price today	$586.39	Yahoo quote
At the peer median forward P/E (18×)	$313.22 · -47%	on Yahoo's forward EPS of $17.69 (fiscal year to 2027-12-31)
Analyst targets: low / median / high	$525.00 / $650.00 / $1250.00	48 analysts · opinions, not facts
Option-implied move by 19 Feb	±25.4% · $437.34–$735.44	CBOE at-the-money straddle
The bot's 8-week range (1σ)	$391.98–$877.23	6.4% a day realised volatility

Arithmetic and attributed opinions, shown side by side so the reader can check them. None of these is a target of this note; the trade levels on page 3 come from fixed price rules.

Shares and cash: Mild dilution, net cash, deals add shares

Diluted shares went from 1.64B to 1.66B over the year, up 1.2%, and management guides the fourth quarter to about 1.67B including the Taalas and World Labs acquisitions. On the company's basis cash and short-term investments of $15.8B exceed debt of $7.1B; Yahoo's trailing figures are $15.78B cash and $9.21B debt. No dividend is paid.

What would make this wrong

Revisions reverse.
Next-fiscal-year EPS revisions turn net negative, removing the support the multiple relies on.

Data Center slows.
Fourth-quarter Data Center growth lands below management's roughly 50% q/q, or the 2027 doubling is cut.

Margin erosion.
Gross margin guidance near 55% gives way as memory and component costs rise.

Weak cash conversion.
Free cash flow stays near Q3's $554M while inventory keeps building.

Catalysts

2 Feb 2027	Q4 results; consensus EPS $2.93, revenue $17.06B, beyond this window	Yahoo, 12 Nov 2026

WATCHLIST — NOT CATALYSTS UNTIL CONFIRMED

UNDATED	Dated export-rule or tariff decisions	AMD release, 3 Nov 2026
UNVERIFIED	Buyback authorization or repurchase amounts	not found in the material read
UNVERIFIED	Third-party tokenised-share venues trading about $26.26M a day	CoinGecko, 12 Nov 2026

Technical read

RSI (14)	VS 50-DAY AVERAGE	VS 200-DAY AVERAGE	52-WEEK RANGE PLACE
57.6	+6.0%	+39.0%	86%
neither oversold nor overbought	$553.02	$421.71	−9.7% from the high

RSI(14) is 57.6, neither oversold nor overbought. Price is +6.0% against its 50-day average and +39.0% against its 200-day, 86% of the way up its 52-week range of closes and −9.7% from the high. A technical read describes the path so far, not what comes next. **Market:** the S&P 500 +3.8% in a week · −1.1% in a month · −1.9% in a quarter — no clear market trend. AMD against it, same sessions: +41.2 pts in a week · +3.8 pts in a month · +15.9 pts in a quarter. With the market in a month; Its own move in a week, in a quarter (a gap within ±5 points counts as with the market).

Positioning

SHORT INTEREST	OPTION-IMPLIED MOVE	EPS REVISIONS, 30 DAYS	INSIDERS, 6 MONTHS
2.4% of float	±25.4%	10 up / 1 down	+0.64M sh
1.91 days to cover	by 19 Feb	next fiscal year	net bought or granted (+), sold (−) · Yahoo

Short interest is 38.6M shares, 2.4% of the float and 1.91 days of volume to cover, down from 39.3M a month earlier. The at-the-money straddle expiring 19 Feb 2027 prices a ±25.4% move. Estimate revisions run net positive. **Decision: NO TRADE** — the evidence tilts higher, not strongly enough to trade.

Conclusion

Estimates and delivery support the growth story; the multiple against peers and weak free cash flow argue the other way. Data Center is close to the whole business, so its execution carries the note. The next firm evidence is the 2 February report, which sits beyond the eight-week window.

NO TRADE **The evidence tilts higher, not strongly enough to trade**

RE-ASSESS ON A DAILY CLOSE ABOVE	RE-ASSESS ON A DAILY CLOSE BELOW
$649.42	$404.40
the 30-session high	the 30-session low

Not entry triggers: a close beyond either level re-opens the view.

What changes the view: Next-fiscal-year EPS revisions turn net negative for 30 days, or Q4 Data Center growth misses guidance.

Range: 8-week 1σ $391.98–$877.23 at 6.4% a day.

If you act on the bullish tilt (not a call of this note): LONG zone $404.40–434.24 (the bottom of the 7-session range; price is above the zone (wait for a pullback into it)) · stop $350.72 (16% from the zone's midpoint) · Target 1 $556.52 (2R, +33%) · Target 2 $877.23 (6.7R).

Alerts to set

$649.42	a daily close above the 30-session high — re-assess
$404.40	a daily close below the 30-session low — re-assess
2 Feb	earnings report — consensus EPS $2.93, revenue $17.06B; the note is re-read after it

Liquidity

Average daily trading value about $13.90B (Yahoo). Shares trade in US market hours; a report after the close can move the price past a stop before it can act. Also trades around the clock as a perpetual on Hyperliquid and Lighter (price-matched $585.78 / $584.99). Tokenised versions of the share traded about $26.26M in 24 hours across 7 tokens (CoinGecko).

How to use this note

The verdict is a view on the next eight weeks from stated facts. Check the filings and the earnings call yourself — the Sources list is the place to start. Size any trade from your own risk budget.

Data

INPUT	SOURCE	READ	STATUS
Price and daily closes (2 years)	Yahoo	19:01 SAST	complete
Quarterly results	Yahoo	19:01 SAST	5 quarters
Estimates and price targets	Yahoo consensus	19:01 SAST	complete
Peers	the bot's industry list (Semiconductors)	19:01 SAST	6 read
Short interest	Yahoo	19:01 SAST	as of 30 Oct
Options	CBOE delayed	19:01 SAST	complete
Company filings	SEC (EDGAR)	19:01 SAST	10-Q of 4 Nov · results release of 3 Nov
Earnings call and news	web search	19:01 SAST	as cited in Sources

DATA GAPS

No buyback authorization or repurchase amounts appeared in the material read, no insider sale transactions are dated, and no analyst targets newer than the 12 November aggregate. Export-rule and tariff outcomes are undated, so the regulatory risk cannot be timed.

METHOD

Every number is read by the bot from the named source at the time shown; the AI (deepseek/deepseek-v4.1-flash, with web search) writes the words and may only use those numbers — a gate checks every figure in the text before publication. The verdict starts from the research's stated lean. 9 independent reads of the same research then answer, item by item, whether valuation, results and estimate revisions each make a lower or a higher price more likely eight weeks out; the price trend is asked too but is not counted. The direction is kept only when at least two of those three items support it — 7 of the 9 reads agreeing on each — and none points the other way; a dated event that could go against it lowers that by one step. Anything else is published as NEUTRAL, with the tilt and the count stated. The range is the share's 30-session realised volatility projected 8 weeks. Trade levels follow fixed price rules: the entry zone sits at the edge of the recent range (no chasing), the stop one weekly 1σ beyond it, Target 1 at twice the risk; no trade is opened in the 7 calendar days (five trading sessions) before an earnings report. The idea is scored publicly 7 and 30 days after publication.

LIMITATIONS

- undated "Q4 2026" moved to the watchlist

SOURCES

1. Yahoo Finance — quote, results, estimates, price targets, short interest (AMD) · read 12 Nov 2026, 19:01 SAST — *price, multiples, quarterly results, estimates, peers*
   finance.yahoo.com/quote/AMD
2. CBOE — delayed option chain · read 12 Nov 2026, 19:01 SAST — *the option-implied move*
   cboe.com/delayed_quotes/amd
3. AMD — Q3 2026 financial results press release · 3 Nov 2026 — *Q3 revenue, EPS, segment growth, guidance*
   ir.amd.com/news-events/press-releases/detail/1303/amd-reports-third-quarter-2026-financial-results
4. AMD — Q3 2026 prepared remarks · 3 Nov 2026 — *Segment mix, guidance detail, cash, inventory, acquisitions*
   newsroom.amd.com/documents/2026/11/84f4476b-f064-4f0f-957c-fe484853e178.pdf
5. SEC EDGAR — AMD quarterly report (10-Q), period ended 26 Sep 2026 · 4 Nov 2026 — *Filed quarterly accounts underlying the results*
   sec.gov/Archives/edgar/data/2488/000000248826000191/amd-20260926.htm

This note is research produced by an automated system and published for information only. It is not investment advice, an offer or a solicitation to buy or sell any security. Shares can fall in value and you can lose your capital. Do your own research. The authors may hold positions in the securities discussed.